

Many companies have a working agreement with the national Consumers Credit Counseling Service (CCCS), which is a nonprofit group of credit counseling agencies located in most major cities. They can usually negotiate reduced payment schedules as well as reduced interest fees.

Crown Financial Ministries has volunteer budget coaches located nationwide who assist individuals, free of charge, in establishing budgets that will help them become debt free and honor God through their finances.

What Happens When a Creditor Won't Cooperate?

Most attempts to get out of debt sound great because you usually hear the success stories. But what happens when the creditors refuse to cooperate? The principle to remember is this: don't give up too soon. Often when the debts are delinquent, the original lender has already turned the account over to a collection agency. The collection agency is less prone to cooperate and more likely to sue. But unless the debt has actually been sold to a third party, the original lender can still control the proceedings.

Generally speaking, the local credit office of a national company has only limited ability to negotiate once a loan has been declared delinquent. So your best chance to reach an agreement is to request the name of the regional or district credit manager and try to work out a settlement. You must suggest a reasonable plan.

However, there are times when the best efforts don't work. That is usually because the debtor has made frequent promises that were not kept or because he or she failed to respond to the many warnings the company sent out before pursuing legal action. The actions a creditor normally takes will fall into one of three areas.

Repossession

If you have borrowed for a specific asset such as a car, television, refrigerator, or furniture, and the asset is security for the loan, a